



Infrastructure Governance Guide for Regulated Organizations

Securities and Exchange Commission (SEC)

How managed infrastructure is the foundation of every enforceable governance program under SEC requirements.

1. Why Infrastructure Governance Matters to the SEC

The SEC does not regulate infrastructure directly, but infrastructure is how you prove every other governance obligation is real:

- Reg S-P requires safeguards for customer records. Unmanaged endpoints and unencrypted storage are direct violations.
- Reg S-ID requires detection and response capabilities. Unmonitored infrastructure cannot detect identity theft red flags.
- SEC examination findings consistently cite lack of technical enforcement of written policies as a deficiency.
- The examiner test: do your systems enforce your policies, or do your policies just describe your hope?

2. Endpoint and Device Governance Under SEC

Endpoints that access customer data or financial systems must be enrolled, managed, and auditable:

- ✓ MDM/UEM enrollment for all endpoints. Unmanaged devices accessing customer records violate Reg S-P safeguard requirements.
- ✓ Full disk encryption enforced and verified. Encrypted endpoints are a safe harbor if a device is lost or stolen; unencrypted endpoints create breach disclosure obligations.
- ✓ EDR/XDR with centralized monitoring. Required to meet SEC expectation of active threat detection in customer data environments.
- ✓ Automated patch management with documented SLAs. Unpatched systems in customer data environments are a Reg S-P deficiency.
- ✓ Quarterly MDM compliance reports as evidence for SEC examination that endpoint governance controls are actively enforced.

3. Network Infrastructure Under SEC

Network architecture must isolate customer data and support SEC audit requirements:

- Segmentation: Customer data environments must be logically isolated from general business networks. Flat network architectures in SEC-regulated environments are a significant exam risk.
- Trading System Isolation: Order management and trading systems require additional network controls isolated from general IT infrastructure.

- Firewall Management: Documented rulesets, quarterly review, and change management logging. SEC examiners have requested firewall rules as evidence of network controls.
- Remote Access: All remote access through MFA-enforced VPN or ZTNA. Log all remote sessions accessing customer data systems.
- DNS Filtering: Block access to known-malicious domains. Required for reasonable safeguard standard under Reg S-P.

4. Cloud and Data Infrastructure Under SEC

Cloud services that store or process customer records create specific Reg S-P obligations:

- Cloud Inventory: Maintain a current inventory of all cloud services storing or processing customer records.
- Data Classification: Know where customer PII and financial records are stored across cloud environments.
- CSPM Deployment: Cloud security posture management tool to continuously detect and alert on misconfigurations in cloud environments storing customer data.
- No Public Buckets: S3, Azure Blob, or GCS buckets containing customer records must never be publicly accessible. This is a per-violation Reg S-P failure.
- Cloud Logging: CloudTrail, Azure Activity Logs, or equivalent retained and searchable. Required to meet SEC audit and recordkeeping obligations.

5. Identity Infrastructure Under SEC

Access governance is a core SEC examination focus. The technical foundation is identity infrastructure:

- Single Identity Directory: All users provisioned through a single authoritative directory. Shadow accounts outside the directory are an access control deficiency.
- Privileged Access Management: Admin and privileged accounts must be managed through PAM with separate credentials, logged sessions, and just-in-time access.
- Access Reviews: Quarterly reviews for systems handling customer data, documented with evidence of review and remediation.
- Offboarding: Immediate account termination process for departing employees on the same day. Access after termination is a Reg S-P deficiency.

- Service Accounts: Inventory all service accounts with access to customer data. Rotate credentials on a defined schedule. Remove unused service accounts.

6. SEC Infrastructure Governance Checklist

Infrastructure governance evidence for SEC examination readiness:

- MDM enrollment evidence for all endpoints accessing customer data
- Encryption compliance report for all endpoints and storage containing customer records
- Network segmentation diagram documenting customer data environment isolation
- Cloud inventory with data classification and public access verification
- Identity directory showing all active accounts with last login dates
- Privileged account inventory with PAM evidence
- Access review records quarterly for customer data systems
- Offboarding log with evidence of same-day access termination

NEXT STEP

Build Your Governance Roadmap

Reading this guide is step one. Step two is knowing exactly where your organization stands and what it takes to close the gaps before a regulator does it for you.

Our assessment delivers a prioritized governance roadmap tailored to your regulatory environment.

WHAT THE ASSESSMENT DELIVERS

- ✓ AI usage discovery across your organization
- ✓ Governance gap analysis by regulatory framework
- ✓ Infrastructure and vendor AI risk review
- ✓ Regulatory exposure analysis (SEC, FINRA, HIPAA)
- ✓ Prioritized governance roadmap
- ✓ Board-ready executive summary
- ✓ Regulatory readiness score by framework

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